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The Essential Financial Ratios for Analysis

A Practical Guide to 26 Essential Financial Ratios

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FLOW
finance by exca

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Financial Analysis – Financial Ratios

FLOW finance groups financial ratios into five categories: **liquidity** (meeting short-term obligations), **solvency** (long-term financial stability), **coverage** (ability to cover financial commitments), **profitability** (generating earnings), and **asset utilization** (using assets efficiently to generate revenue).

FINANCIAL LEVERAGE RATIOS	
Liquidity Ratios	
SHORT-TERM SOLVENCY	– Current Ratio – Quick Ratio – Cash Ratio
WORKING-CAPITAL POSITION	– Working Capital
Solvency Ratios	
LEVERAGE & CAPITAL STRUCTURE	– Debt-to-Assets Ratio – Debt-to-Equity Ratio – Equity Multiplier
NET WORTH & ASSET COVERAGE	– Net Worth to Total Assets – Debt to Tangible Net Worth – Debt to EBITDA
Coverage Ratios	
INTEREST & DEBT SERVICE COVERAGE	– Interest Coverage Ratio – Debt Service Coverage Ratio (DSCR)

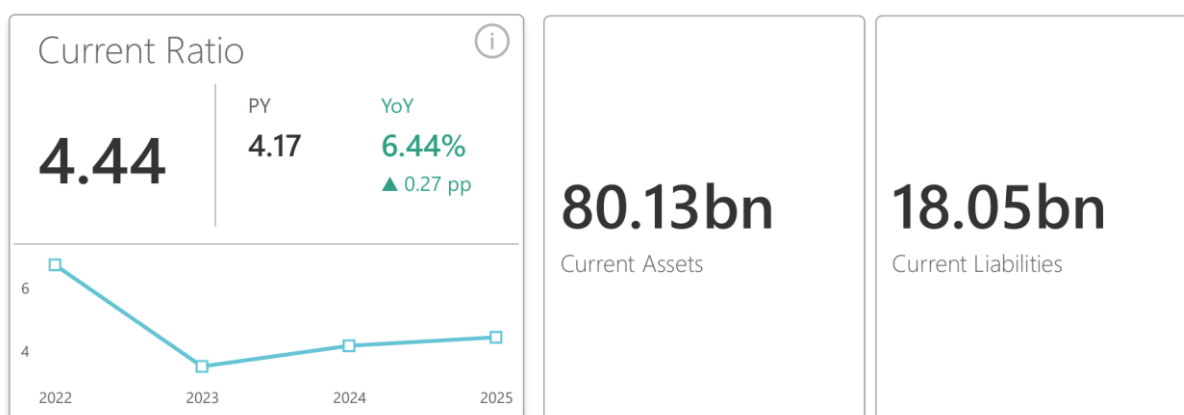
PERFORMANCE RATIOS	
Return and Profitability Ratios	
PROFITABILITY MARGIN	– Gross Profit Margin – Operating Profit Margin – EBITDA Margin – Net Profit Margin
RETURN EFFICIENCY	– Return on Assets (ROA) – Return on Capital Employed (Core ROCE) – Return on Average Equity (ROAE)
Asset Utilization Ratios	
ASSET TURNOVER EFFICIENCY	– Total Asset Turnover – PPE Turnover
WORKING CAPITAL EFFICIENCY	– Inventory Turnover – Accounts Receivable (AR) Turnover – Accounts Payable (AP) Turnover – Days Inventory Outstanding (DIO)
CASH CONVERSION EFFICIENCY	– Cash Conversion Cycle (CCC)

Current Ratio

FINANCIAL LEVERAGE RATIOS ► LIQUIDITY RATIOS ► SHORT-TERM SOLVENCY

Current Ratio shows a company's ability to pay its short-term obligations using all of its current assets, helping assess overall liquidity and near-term financial stability.

Formula	Current Assets ÷ Current Liabilities		
What it measures	How many dollars of current assets back each dollar of current liabilities.		
Inputs needed	- Current Assets - Current Liabilities		
Benchmark	Alert < 1.5 Risk	Healthy 1.5–3 Healthy	Note > 3 Excess liquidity
Trend signals	- Rising ratio → improving short-term buffer - Falling ratio → tightening liquidity - Very high ratio may signal idle assets		



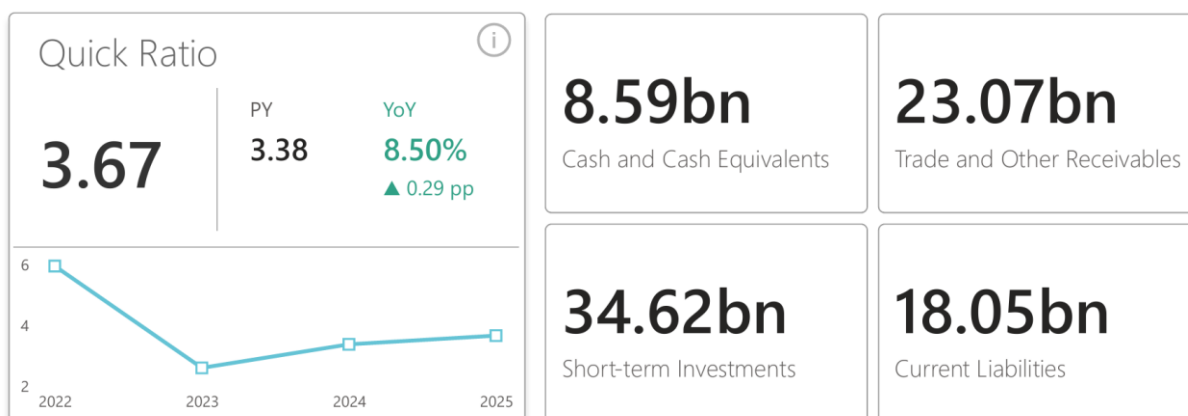
Current Ratio example from [NVIDIA FY2025 demo analysis](#)

Quick Ratio

FINANCIAL LEVERAGE RATIOS ► LIQUIDITY RATIOS ► SHORT-TERM SOLVENCY

Liquidity excluding inventory.

Formula	$\frac{(\text{Cash} + \text{Short-term Investments} + \text{Receivables})}{\text{Current Liabilities}}$		
What it measures	Immediate liquidity without relying on inventory conversion.		
Inputs needed	▪ Cash & Equivalents ▪ Short-term Investments ▪ Receivables. ▪ Current Liabilities		
Benchmark	Alert < 1 Risk	Healthy 1–2 Adequate	Note > 2 Strong
Trend signals	▪ Gap vs Current Ratio reveals inventory reliance ▪ Decline signals receivables risk ▪ Trend matters more than snapshot		



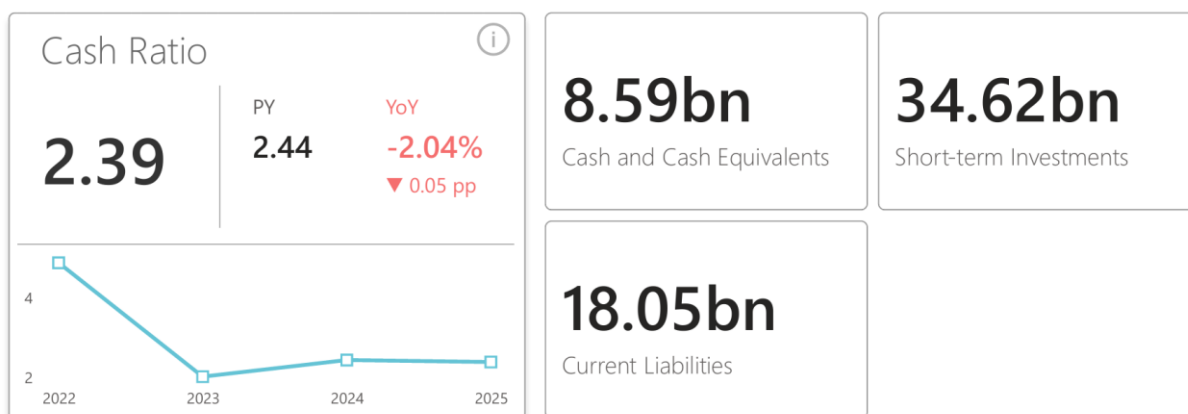
Quick Ratio example from [NVIDIA FY2025 demo analysis](#)

Cash Ratio

FINANCIAL LEVERAGE RATIOS ► LIQUIDITY RATIOS ► SHORT-TERM SOLVENCY

Most conservative liquidity measure.

Formula	$(\text{Cash} + \text{Short-term Investments}) \div \text{Current Liabilities}$		
What it measures	Ability to cover liabilities using only cash and near-cash assets.		
Inputs needed	▪ Cash & Cash Equivalents ▪ Short-term Investments ▪ Current Liabilities		
Benchmark	Alert < 0.5 Tight	Healthy 0.5–1 Adequate	Note > 1 Very Strong
Trend signals	▪ Drop signals reduced immediate reserves ▪ Too high suggests underdeployed cash ▪ Watch vs Quick Ratio spread		



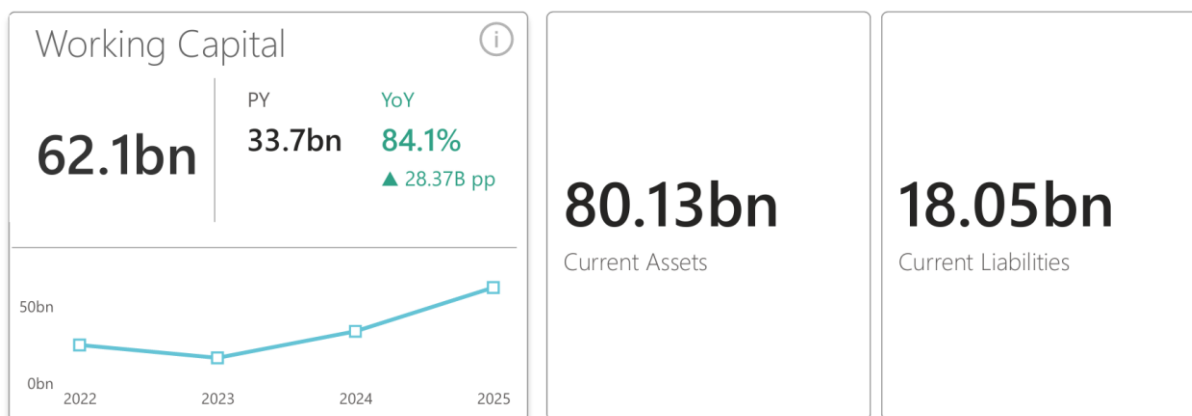
Cash Ratio example from [NVIDIA FY2025 demo analysis](#)

Working Capital

FINANCIAL LEVERAGE RATIOS ► LIQUIDITY RATIOS ► SHORT-TERM SOLVENCY

Absolute short-term financial cushion.

Formula	Current Assets – Current Liabilities		
What it measures	Net buffer available for day-to-day operations after covering short-term obligations.		
Inputs needed	- Current Assets - Current Liabilities		
Benchmark	Alert Negative Distress	Healthy Positive Operational	Note Growing Expanding
Trend signals	- Rapid growth in WC can signal accumulation - Declining WC is early warning sign - Compare to revenue growth for context		



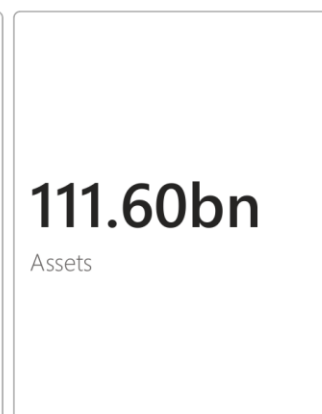
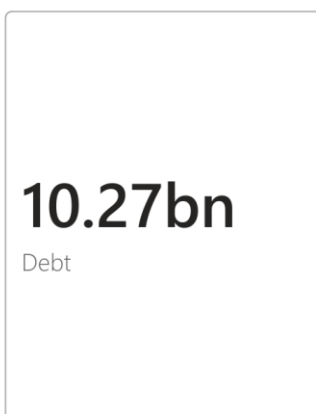
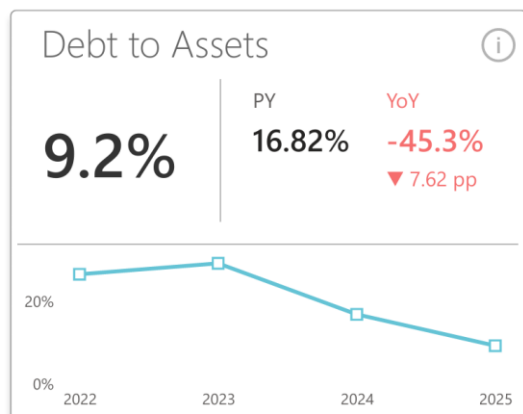
Working Capital example from [NVIDIA FY2025 demo analysis](#)

Debt to Assets

FINANCIAL LEVERAGE RATIOS ► SOLVENCY RATIOS ► LEVERAGE & CAPITAL STRUCTURE

Asset base supported by debt.

Formula	Total Debt ÷ Total Assets		
What it measures	Percentage of assets financed through borrowing.		
Inputs needed	- Total Debt - Total Assets		
Benchmark	Alert < 15% Low risk	Healthy 15–40% Moderate	Note > 40% High risk
Trend signals	- Downward trend signals balance sheet strengthening - Used in lending covenants - Companion to D/E ratio		



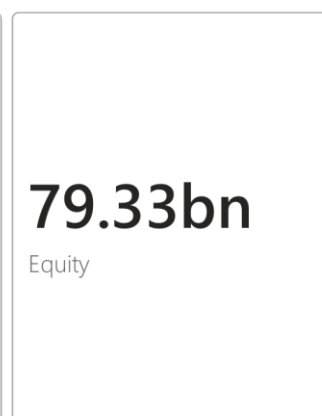
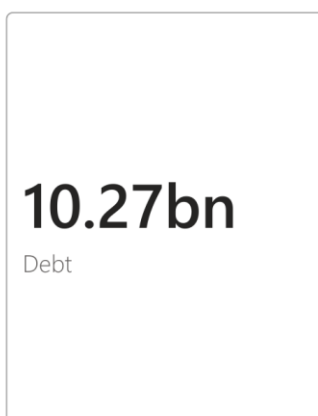
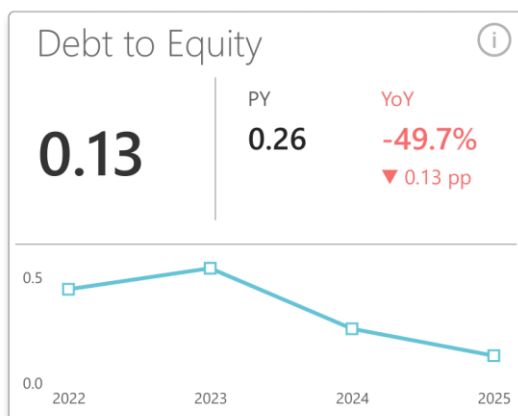
Debt to Assets example from [NVIDIA FY2025 demo analysis](#) ↗

Debt to Equity

FINANCIAL LEVERAGE RATIOS ► SOLVENCY RATIOS ► LEVERAGE & CAPITAL STRUCTURE

Leverage relative to shareholder equity.

Formula	Total Debt ÷ Total Equity		
What it measures	For every dollar of equity, how much debt is the company carrying.		
Inputs needed	- Total Debt - Total Equity		
Benchmark	Alert < 0.5 Conservative	Healthy 0.5–1.5 Moderate	Note > 2 High leverage
Trend signals	- Improving (falling) D/E signals financial strength - Sector comparison essential - Watch for covenant thresholds		



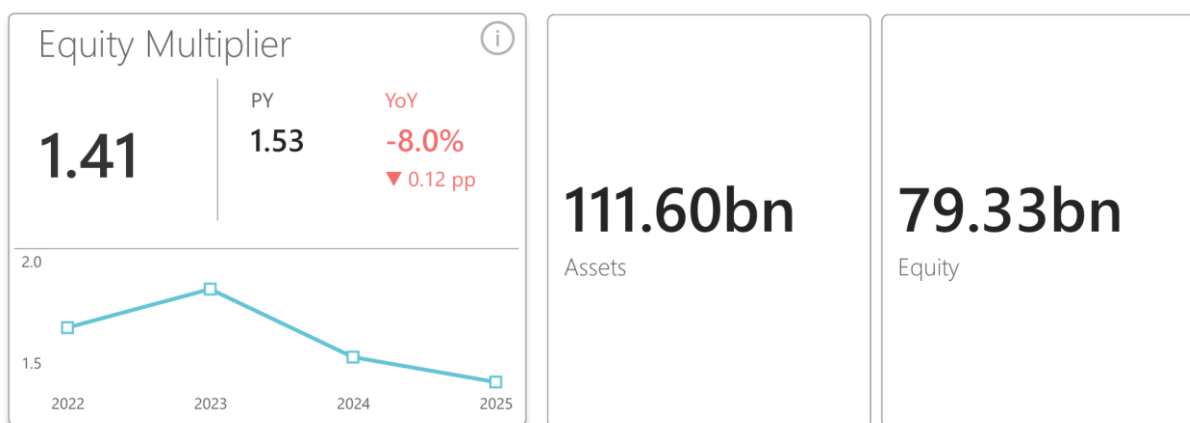
Debt to Equity example from [NVIDIA FY2025 demo analysis](#) ↗

Equity Multiplier

FINANCIAL LEVERAGE RATIOS ► SOLVENCY RATIOS ► LEVERAGE & CAPITAL STRUCTURE

Financial leverage amplification factor.

Formula	Total Assets ÷ Total Equity		
What it measures	How much of asset base is funded by equity vs debt — DuPont decomposition component.		
Inputs needed	- Total Assets - Total Equity		
Benchmark	Alert ~1 All equity	Healthy 1.5–2.5 Typical	Note > 3 Highly leveraged
Trend signals	- Falling → equity-driven growth - Rising → debt-funded expansion - Critical in DuPont ROE analysis		



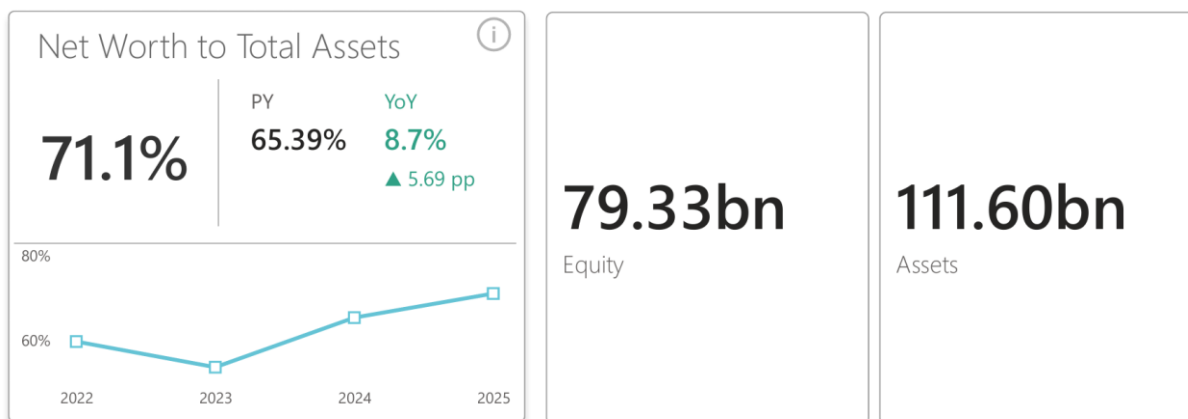
Equity Multiplier example from [NVIDIA FY2025 demo analysis](#)

Net Worth to Total Assets

FINANCIAL LEVERAGE RATIOS ► SOLVENCY RATIOS ► NET WORTH & ASSET COVERAGE

Equity cushion as % of total assets.

Formula	Total Equity ÷ Total Assets		
What it measures	Inverse of leverage – what share of assets shareholders actually own.		
Inputs needed	- Total Equity - Total Assets		
Benchmark	Alert < 30% Thin equity	Healthy 30–60% Balanced	Note > 60% Well-capitalized
Trend signals	- Rising signals equity accumulation - High % = low financial risk - Useful for creditor safety assessment		



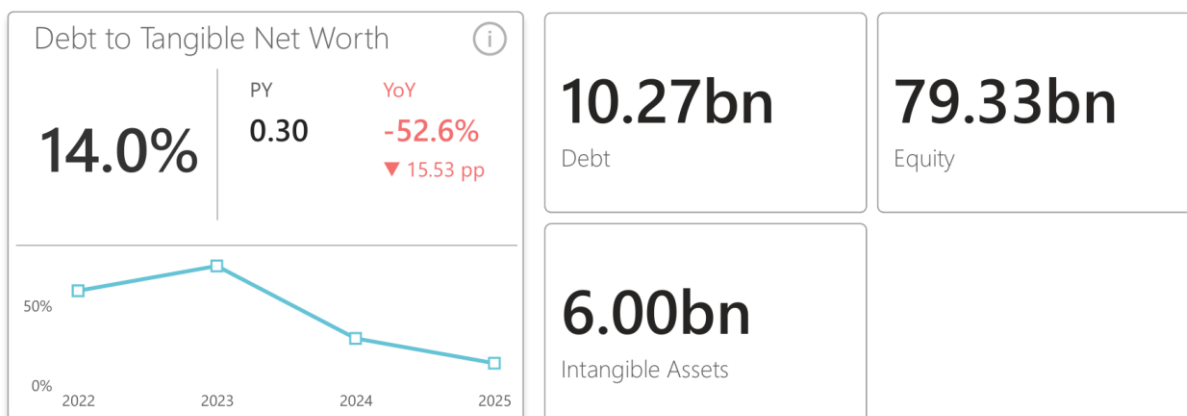
Net Worth to Total Assets example from [NVIDIA FY2025 demo analysis](#)

Debt to Tangible Net Worth

FINANCIAL LEVERAGE RATIOS ► SOLVENCY RATIOS ► NET WORTH & ASSET COVERAGE

Debt vs real (ex-intangibles) equity.

Formula	Total Debt ÷ (Equity – Intangible Assets)		
What it measures	More conservative D/E: strips out goodwill and intangibles from the equity base.		
Inputs needed	▪ Total Debt ▪ Total Equity ▪ Intangible Assets		
Benchmark	Alert < 0.5 Solid	Healthy 0.5–1.5 Acceptable	Note > 2 High concern
Trend signals	▪ Preferred by lenders over standard D/E ▪ High intangibles inflate equity artificially ▪ Critical for tech-heavy firms		



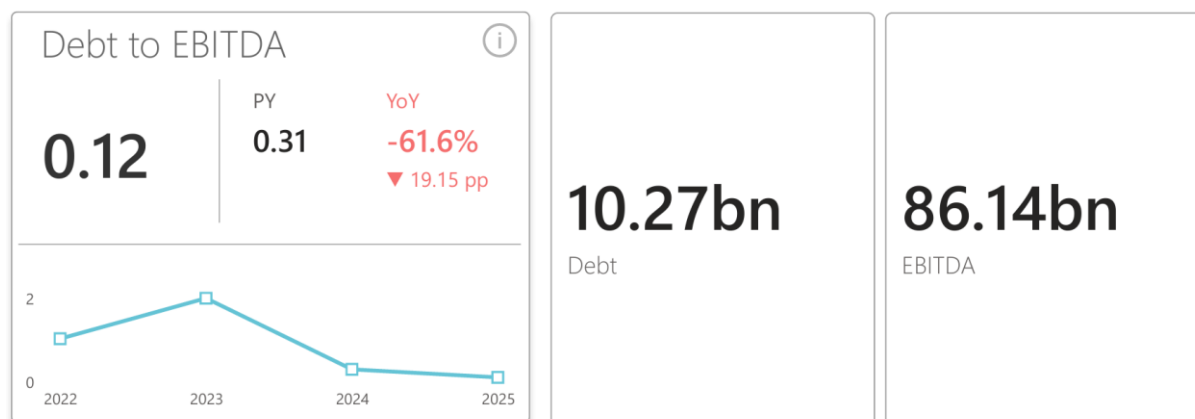
Debt to Tangible Net Worth example from [NVIDIA FY2025 demo analysis](#) ↗

Debt to EBITDA

FINANCIAL LEVERAGE RATIOS ► SOLVENCY RATIOS ► NET WORTH & ASSET COVERAGE

Years of earnings needed to repay debt.

Formula	Total Debt ÷ EBITDA		
What it measures	Approximately how many years of operating cash earnings it would take to retire all debt.		
Inputs needed	- Total Debt - EBITDA		
Benchmark	Alert < 1 Very low	Healthy 1–3 Healthy range	Note > 4 Concerning
Trend signals	- Widely used in credit ratings - Sharp decline = rapid earnings growth - Rising = debt growing faster than profits		



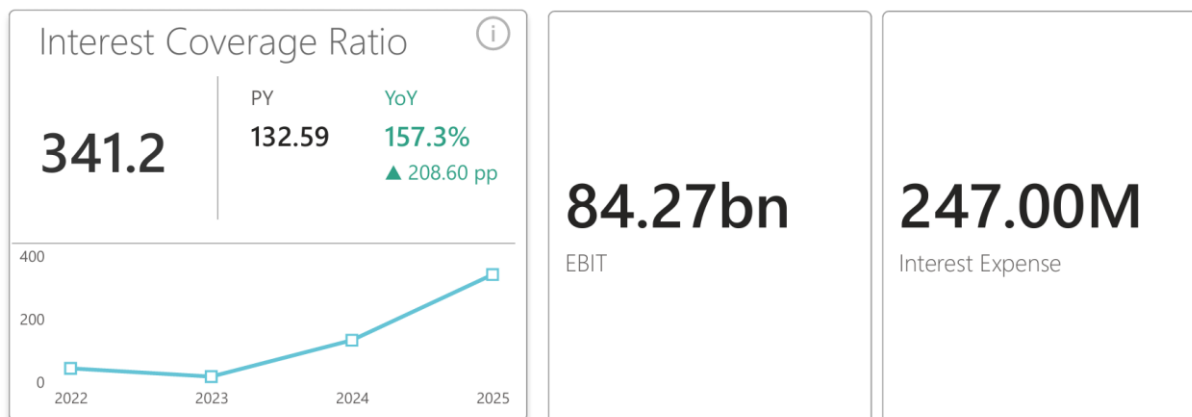
Debt to EBITDA example from [NVIDIA FY2025 demo analysis](#)

Interest Coverage Ratio

FINANCIAL LEVERAGE RATIOS ► COVERAGE RATIOS ► INTEREST & DEBT SERVICE COVERAGE

EBIT-based interest payment safety.

Formula	EBIT ÷ Interest Expense		
What it measures	How many times over EBIT can cover annual interest obligations.		
Inputs needed	- EBIT - Interest Expense		
Benchmark	Alert < 2 Distress risk	Healthy 2–5 Adequate	Note > 5 Strong
Trend signals	- Above 10 = extremely comfortable - Below 1.5 = payment risk - Trend direction critical in cycle analysis		



Interest Coverage Ratio example from [NVIDIA FY2025 demo analysis](#)

Debt Service Coverage Ratio (DSCR)

FINANCIAL LEVERAGE RATIOS ► COVERAGE RATIOS ► INTEREST & DEBT SERVICE COVERAGE

EBITDA-based full debt service ability.

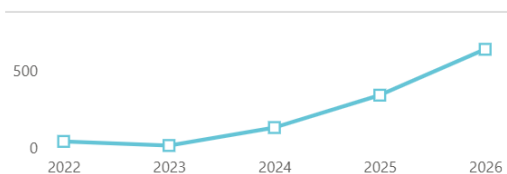
Formula	$\text{EBITDA} \div (\text{Interest Expense} + \text{Current Debt \& Capital Lease Obligation})$		
What it measures	Broader coverage using EBITDA – includes depreciation add-back for operational cash flow.		
Inputs needed	- EBITDA - Interest Expense - Current Debt & Capital Lease Obligation		
Benchmark	Alert < 1.25 Lender red flag	Healthy 1.25–2 Min. Acceptable	Note > 2 Comfortable
Trend signals	- Used in loan covenants - Above 1 = generating enough to service debt - Rapid improvement = strong earnings momentum		

Debt Service Coverage Ratio (DSCR) ⓘ

161.0

PY
20.51

YoY
685.0%
▲ 140.49 pp



86.14bn

EBITDA

247.00M

Interest Expense

288M

Current Debt and Capital Lease Obligation

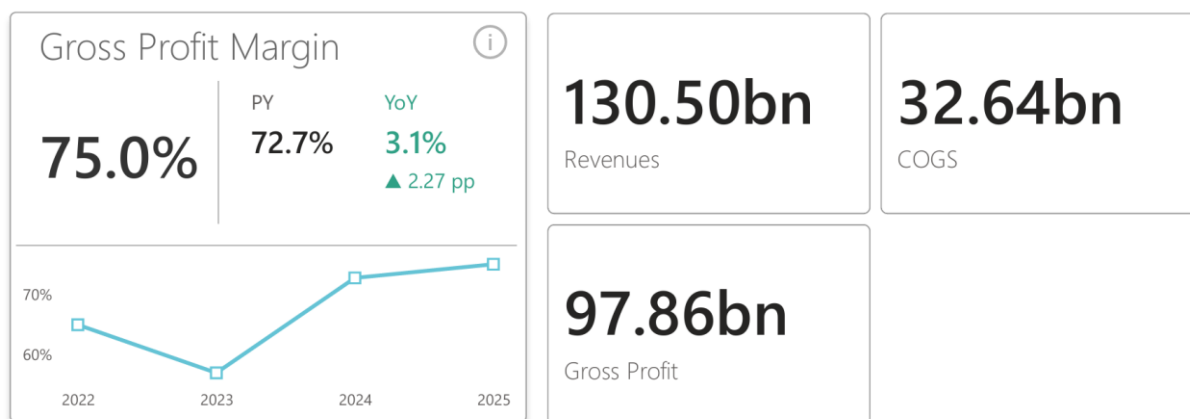
Debt Service Coverage Ratio (DSCR) example from [NVIDIA FY2025 demo analysis](#) ↗

Gross Profit Margin

PERFORMANCE RATIOS ► RETURN AND PROFITABILITY RATIOS ► PROFITABILITY MARGIN

Revenue retained after production costs.

Formula	Gross Profit ÷ Revenue		
What it measures	What percentage of revenue remains after subtracting direct cost of goods sold.		
Inputs needed	- Revenue - COGS - Gross Profit		
Benchmark	Alert < 30% Commoditized	Healthy 30–60% Solid	Note > 60% Premium / Tech
Trend signals	- Rising margin = pricing power or COGS efficiency - Falling = cost pressure or pricing erosion - Anchor for downstream margins		



Gross Profit Margin example from [NVIDIA FY2025 demo analysis](#)

Operating Profit Margin

PERFORMANCE RATIOS ► RETURN AND PROFITABILITY RATIOS ► PROFITABILITY MARGIN

Profitability after all operating costs.

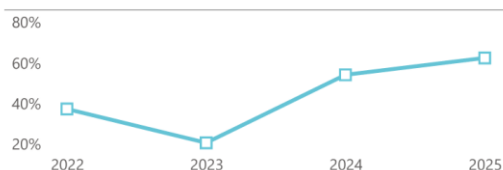
Formula	Operating Income ÷ Revenue		
What it measures	How much operating profit each dollar of revenue generates after all OpEx.		
Inputs needed	- Operating Income - Revenue		
Benchmark	Alert < 10% Thin	Healthy 10–25% Good	Note > 25% Excellent
Trend signals	- Gap from Gross Margin = operating expense weight - Consistent improvement = scaling efficiency - Watch during revenue downturns		

Operating Profit Margin

62.4%

PY
54.1%

YoY
15.3%
▲ 8.30 pp



81.45bn

Operating Income

130.50bn

Revenues

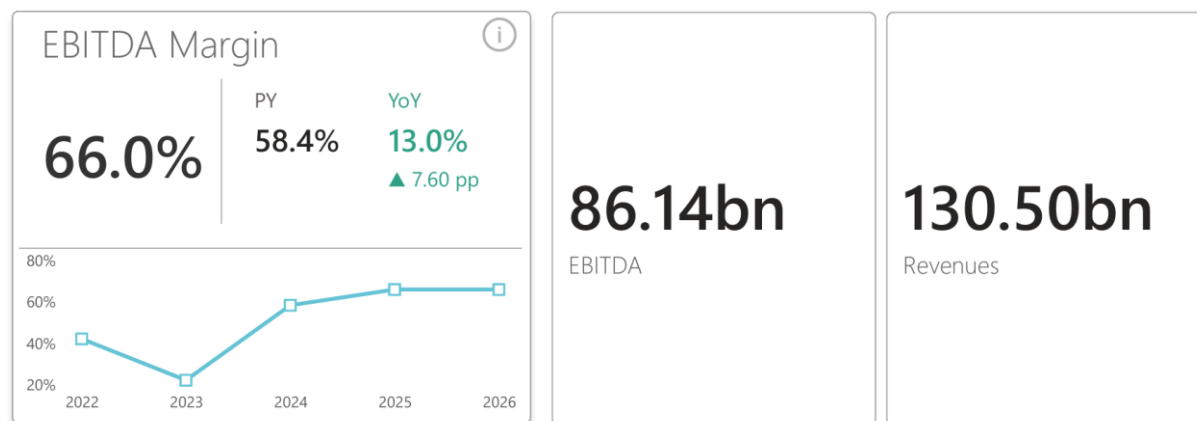
Operating Profit Margin example from [NVIDIA FY2025 demo analysis](#)

EBITDA Margin

PERFORMANCE RATIOS ► RETURN AND PROFITABILITY RATIOS ► PROFITABILITY MARGIN

Cash-proxy profitability on revenue.

Formula	EBITDA ÷ Revenue		
What it measures	Operating profitability before non-cash charges – closest income statement proxy to cash generation.		
Inputs needed	- EBITDA - Revenue		
Benchmark	Alert < 10% Low	Healthy 15–30% Good	Note > 35% Exceptional
Trend signals	- Higher than EBIT margin = heavy D&A business - Used in EV/EBITDA valuation multiples - Cross-sector comparability advantage		



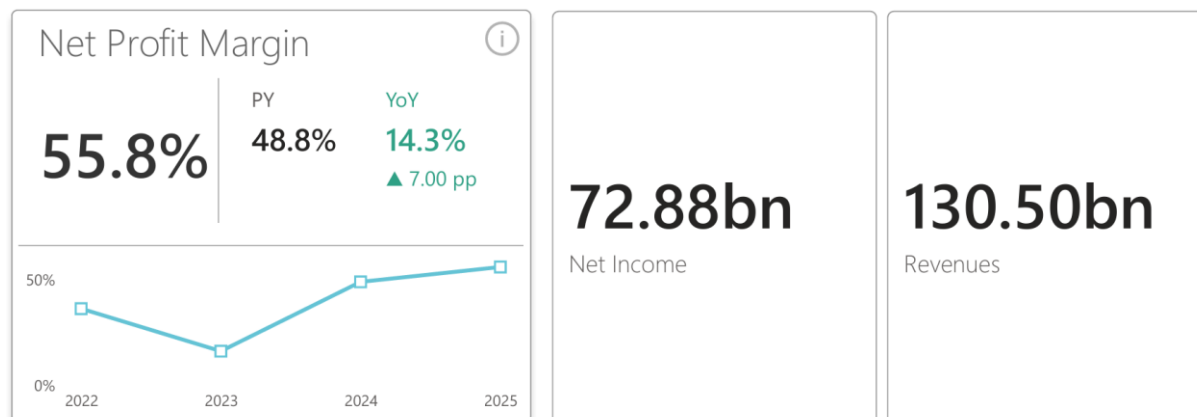
EBITDA Margin example from [NVIDIA FY2025 demo analysis](#)

Net Profit Margin

PERFORMANCE RATIOS ► RETURN AND PROFITABILITY RATIOS ► PROFITABILITY MARGIN

Bottom-line profitability on revenue.

Formula	Net Income ÷ Revenue		
What it measures	Final take-home profit per dollar of revenue after all costs, taxes, and interest.		
Inputs needed	- Net Income - Revenue		
Benchmark	Alert < 5% Thin	Healthy 5–20% Healthy	Note > 20% Exceptional
Trend signals	- Most impacted by tax and leverage decisions - Compare trend to EBITDA margin for financing cost insight - One-time items distort this most		



Net Profit Margin example from [NVIDIA FY2025 demo analysis](#)

Return on Assets (ROA)

PERFORMANCE RATIOS ► RETURN AND PROFITABILITY RATIOS ► RETURN EFFICIENCY

Profit generated per dollar of assets.

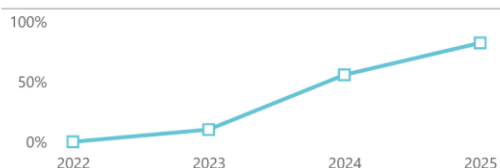
Formula	Net Income ÷ Average Total Assets		
What it measures	How efficiently the company converts its asset base into net profit.		
Inputs needed	- Net Income - Average Total Assets (beginning + ending / 2)		
Benchmark	Alert < 2% Weak	Healthy 2–10% Average	Note > 10% Strong
Trend signals	Capital-light businesses naturally score higher		

Return on Assets (ROA) (i)

82.2%

PY
55.7%

YoY
47.6%
▲ 26.52 pp



72.88bn

Net Income

88.66bn

Average Total Assets

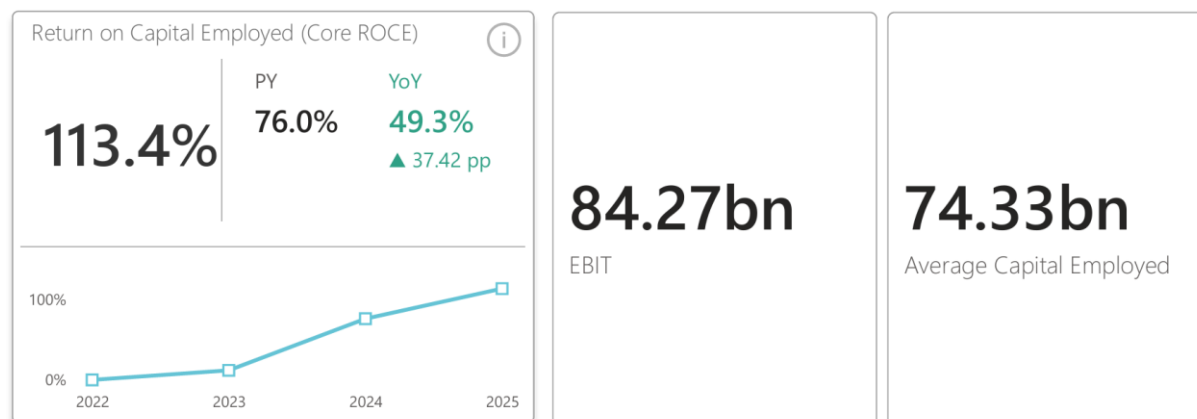
Return on Assets (ROA) example from [NVIDIA FY2025 demo analysis](#)

Return on Capital Employed (ROCE)

PERFORMANCE RATIOS ► RETURN AND PROFITABILITY RATIOS ► RETURN EFFICIENCY

Return on long-term capital base.

Formula	EBIT ÷ Average Capital Employed		
What it measures	How effectively the company uses both equity and long-term debt to generate operating profit.		
Inputs needed	- EBIT - Average Capital Employed (Assets - Current Liabilities)		
Benchmark	Alert < WACC Value destructive	Healthy > WACC Value accretive	Note > 20% Excellent
Trend signals	- Compare to cost of capital for value creation test - Best used in capital-intensive industries - Trend line most important		

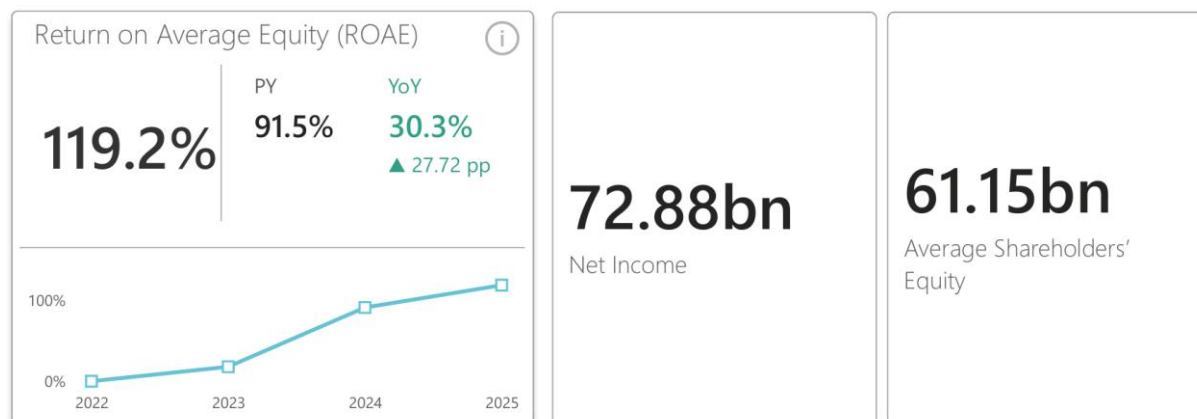


Return on Average Equity (ROAE)

PERFORMANCE RATIOS ► RETURN AND PROFITABILITY RATIOS ► RETURN EFFICIENCY

Net income per dollar of shareholder equity.

Formula	Net Income ÷ Average Shareholders' Equity		
What it measures	How much profit is generated for every dollar shareholders have invested.		
Inputs needed	- Net Income - Average Equity (beginning + ending / 2)		
Benchmark	Alert < 10% Underperforming	Healthy > 10–20% Good	Note > 20% Excellent
Trend signals	- Can be inflated by high leverage – check D/E in tandem - Declining equity base can artificially boost ROAE - Core shareholder wealth creation metric		



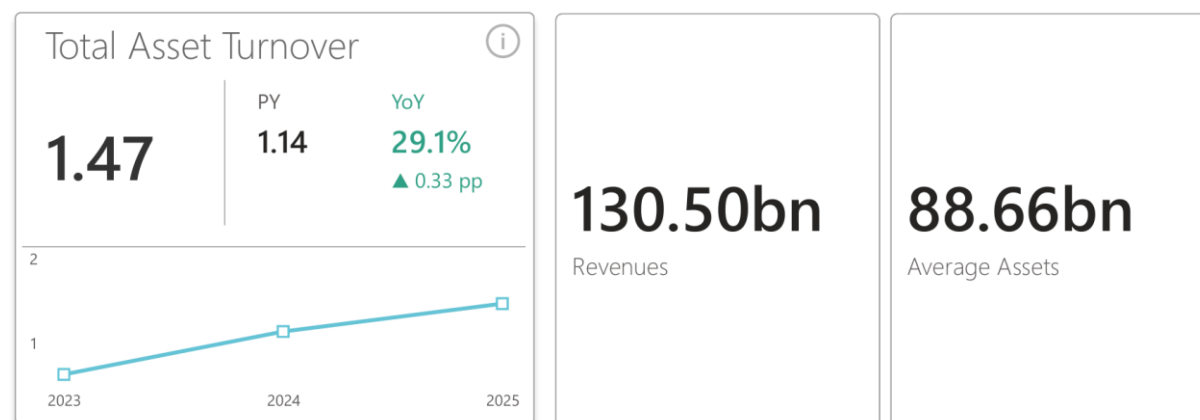
Return on Average Equity (ROAE) example from [NVIDIA FY2025 demo analysis](#) ↗

Total Asset Turnover

PERFORMANCE RATIOS ► ASSET UTILIZATION RATIOS ► ASSET TURNOVER EFFICIENCY

Revenue generated per dollar of total assets.

Formula	Revenue ÷ Average Total Assets		
What it measures	How efficiently the entire asset base is being used to generate sales.		
Inputs needed	- Revenue - Average Total Assets		
Benchmark	Alert < 0.5 Slow turnover	Healthy > 0.5–1.5 Moderate	Note > 2 Highly efficient
Trend signals	Low ratios typical in capital-heavy industries		



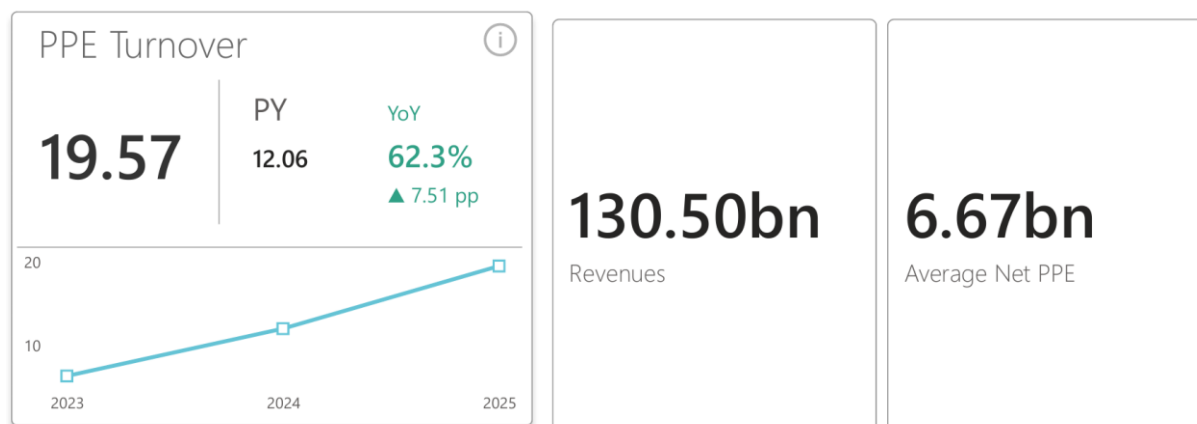
Total Asset Turnover example from [NVIDIA FY2025 demo analysis](#)

PPE Turnover

PERFORMANCE RATIOS ► ASSET UTILIZATION RATIOS ► ASSET TURNOVER EFFICIENCY

Revenue per dollar of fixed assets.

Formula	Revenue ÷ Average Net PPE		
What it measures	Efficiency with which physical assets (property, plant, equipment) generate revenue.		
Inputs needed	- Revenue - Average Net PPE		
Benchmark	Alert < 2 Capital-heavy	Healthy > 3–8 Typical	Note > 10 Asset-light
Trend signals	- Fab-lite model drives high PPE turnover in semiconductors - Rising = more revenue without capex expansion - Falling = overcapacity or asset write-downs		



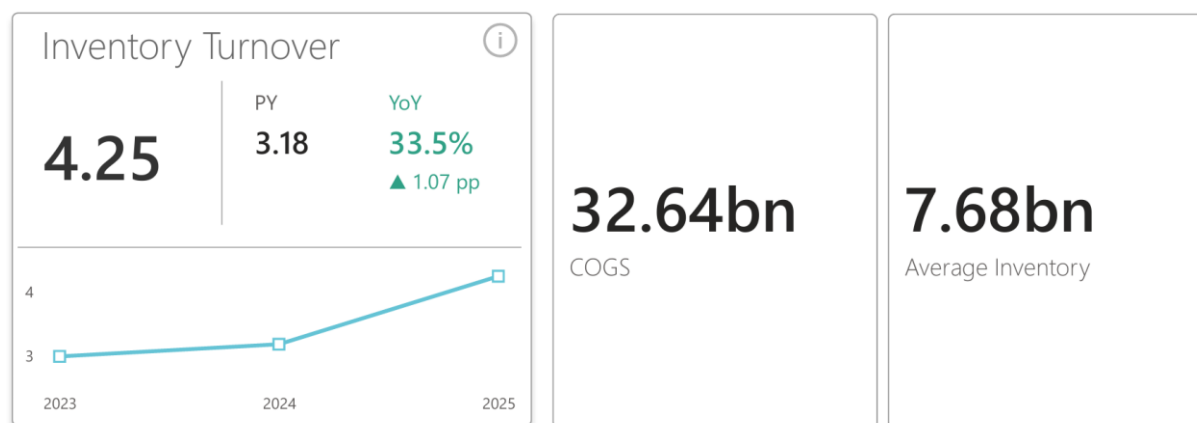
PPE Turnover example from [NVIDIA FY2025 demo analysis](#)

Inventory Turnover

PERFORMANCE RATIOS ► ASSET UTILIZATION RATIOS ► WORKING CAPITAL EFFICIENCY

How quickly inventory is sold.

Formula	COGS ÷ Average Inventory		
What it measures	Number of times inventory is fully cycled through in a year.		
Inputs needed	▪ COGS ▪ Average Inventory		
Benchmark	Alert < 3 Slow moving	Healthy > 4–8 Healthy	Note > 10 Very lean
Trend signals	▪ Low turnover can mean obsolescence risk ▪ Rising signals demand surge or inventory efficiency ▪ Industry norms vary widely		



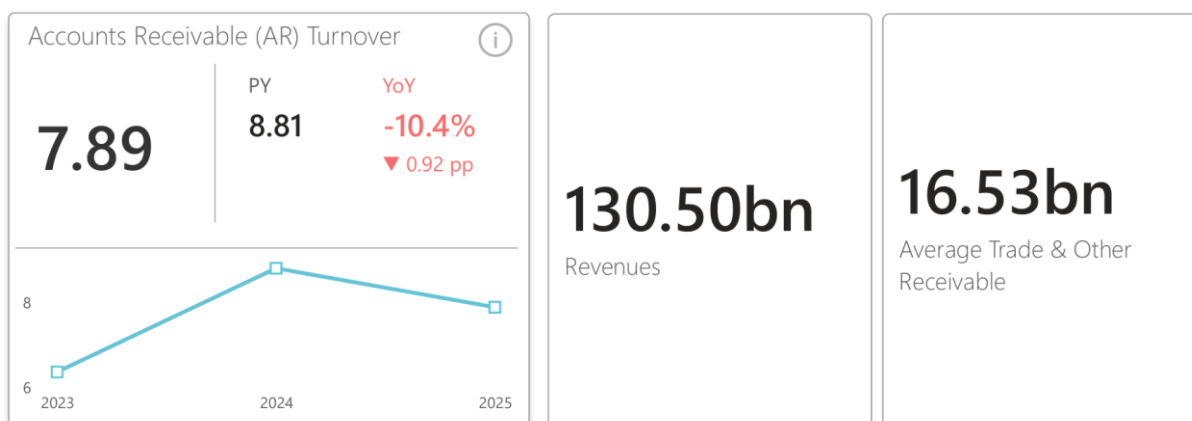
Inventory Turnover example from [NVIDIA FY2025 demo analysis](#)

Account Receivable (AR) Turnover

PERFORMANCE RATIOS ► ASSET UTILIZATION RATIOS ► WORKING CAPITAL EFFICIENCY

How fast receivables are collected.

Formula	Revenue ÷ Average Trade Receivables		
What it measures	Number of times receivables are collected and refreshed in a year.		
Inputs needed	- Revenue - Average Trade & Other Receivables		
Benchmark	Alert < 5 Slow collections	Healthy > 6–12 Efficient	Note > 15 Very tight credit
Trend signals	- Falling AR turnover = slower collections or looser credit terms - Benchmark vs payment terms offered - Spikes can signal channel stuffing		



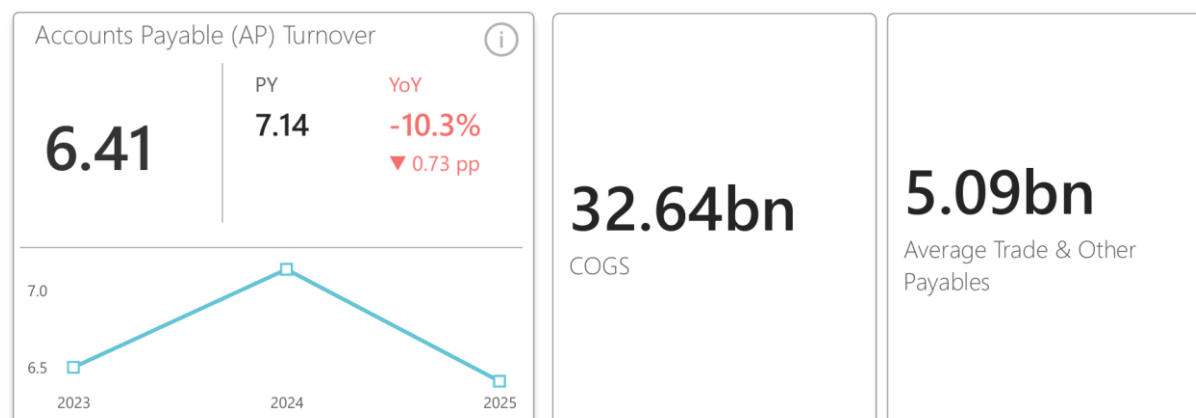
Account Receivable (AR) Turnover example from [NVIDIA FY2025 demo analysis](#) ↗

Account Payable (AP) Turnover

PERFORMANCE RATIOS ► ASSET UTILIZATION RATIOS ► WORKING CAPITAL EFFICIENCY

How fast the company pays suppliers.

Formula	COGS ÷ Average Trade Payables		
What it measures	Number of times accounts payable is cycled — how quickly the company settles with suppliers.		
Inputs needed	▪ COGS ▪ Average Trade & Other Payables		
Benchmark	Alert < 4 Stretching payments	Healthy > 6–12 Normal	Note > 15 Very fast payer
Trend signals	▪ Lower AP Turnover = holding cash longer (advantageous if strong bargaining) ▪ Rising AP turnover = paying faster, reducing float ▪ Watch vs supplier credit terms		



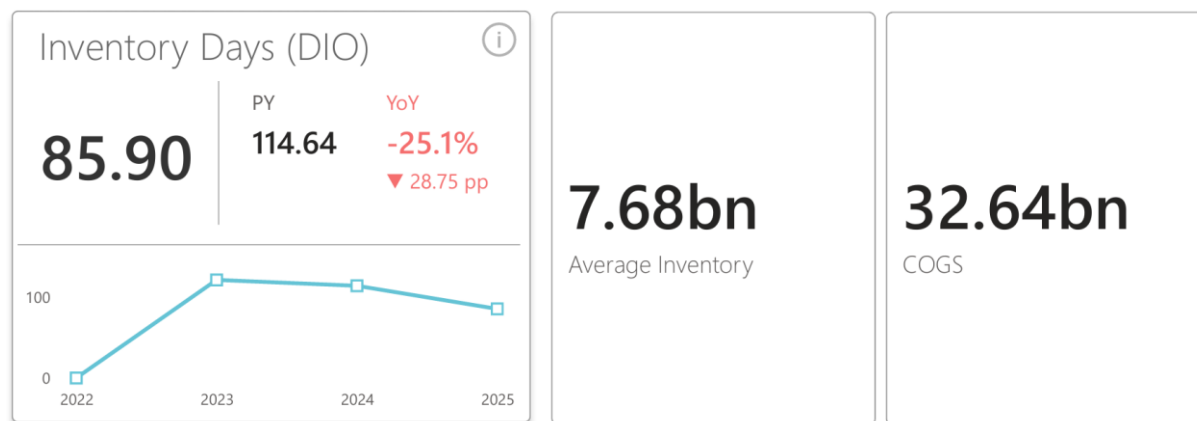
Account Payable (AP) Turnover example from [NVIDIA FY2025 demo analysis](#) ↗

Inventory Days (DIO)

PERFORMANCE RATIOS ► ASSET UTILIZATION RATIOS ► WORKING CAPITAL EFFICIENCY

Average days to sell inventory.

Formula	$365 \div \text{Inventory Turnover}$ (or $\text{Avg Inventory} \times 365 \div \text{COGS}$)		
What it measures	How many days, on average, inventory sits before being sold.		
Inputs needed	- Average Inventory - COGS		
Benchmark	Alert < 30 days Very lean	Healthy > 30–90 days Normal	Note > 120 days Concern
Trend signals	- Rising DIO ties up cash in stock - Falling DIO = faster sell-through or lower stockpiling - Part of Cash Conversion Cycle		



Inventory Days (DIO) example from [NVIDIA FY2025 demo analysis](#)

Cash Conversion Cycle

PERFORMANCE RATIOS ► ASSET UTILIZATION RATIOS ► CASH CONVERSION EFFICIENCY

Days from cash-out to cash-in.

Formula	DIO + DSO - DPO		
What it measures	Net days of working capital tied up in the operating cycle – lower is better.		
Inputs needed	▪ DIO (Inventory Days) ▪ DSO (Days Sales Outstanding) ▪ DPO (Days Payables Outstanding)		
Benchmark	Alert < 30 days Excellent	Healthy > 30–90 days Normal	Note > 120 days Cash drain
Trend signals	▪ Negative CCC = company collects before paying (e.g. subscriptions) ▪ Declining CCC = improving working capital efficiency ▪ Benchmark to industry – retail vs manufacturing differ widely		

Cash Conversion Cycle

75.18

PY 104.95
YoY -28.4%
▼ 29.77 pp



85.90

Inventory Days (DIO)

46.24

Days Sales Outstanding (DSO)

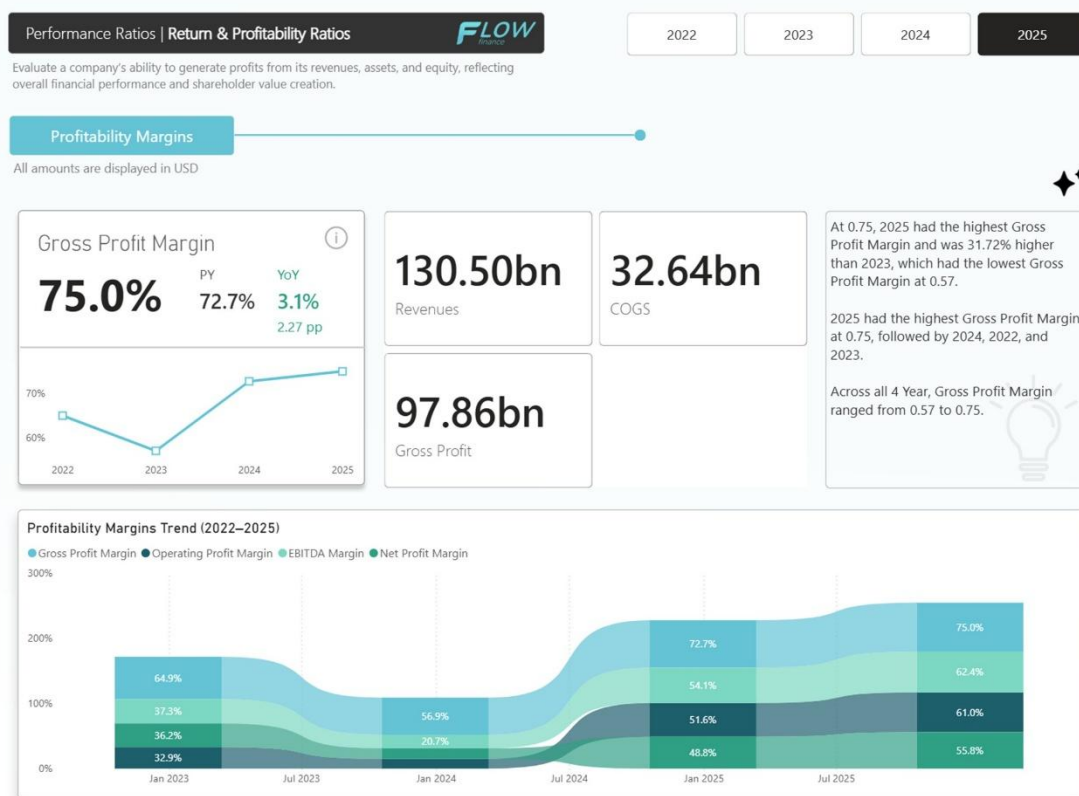
56.95

Days Payables Outstanding (DPO)

Cash Conversion Cycle example from [NVIDIA FY2025 demo analysis](#)

Case Study

All sample KPIs and ratio analyses in this guide are based on an NVIDIA Corporation case study developed using FLOW finance – Financial Ratios Analysis solution.



View Full Case Study (PDF)
Scan to access the complete NVIDIA financial ratio analysis case study.



Interactive Dashboard (Desktop)
Explore the complete NVIDIA financial analysis dashboard and KPIs.



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Appendix

Core Financial Measures

Source shows the usual financial statement section a measure comes from. Calculated measures include their formula in plain English.

BS Balance Sheet	IS Income Statement	Calc Calculated
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Measure	Description	Source
Assets	Everything the company owns or controls that has value	BS
└ Assets Average	Average total assets for current and previous year = (Assets + Prior-year Assets) ÷ 2	Calc Ratio support
Capital Employed	Funds used in the business for operations = Assets – Current Liabilities	Calc
└ Capital Employed Average	Average capital employed for current and previous year = (Capital Employed + Prior year) ÷ 2	Calc Ratio support
Cash and Cash Equivalents	Cash in hand and very short-term highly liquid balances	BS Current asset

Measure	Description	Source
COGS	Direct cost of goods or services sold	IS Expense
Current Assets	Assets expected to turn into cash or be used within one year	BS
Current Debt & Capital Lease Obligation	Debt and lease payments due within one year	BS Current liability
Current Liabilities	Obligations due within one year	BS
Debt	Borrowed money the company must repay = Long-term debt + Current debt	BS Liability
Depreciation & Amortization	Expense that spreads asset cost over its useful life	IS Non-cash expense
Equity	Owners' share in the company after liabilities are deducted	BS
Income Tax Expenses	Tax expense for the period	IS Expense
Intangible Assets	Non-physical assets such as software, patents, goodwill	BS Non-current asset
Interest Expense	Cost of borrowing money	IS Finance cost

Measure	Description	Source
Inventories	Goods held for sale or used in production	BS Current asset
└ Inventories Average	Average inventory for current and previous year $= (\text{Inventories} + \text{Prior year}) \div 2$	Calc Ratio support
Liabilities	Everything the company owes	BS
Net Income	Final profit after all expenses and taxes	IS Profit measure
Net PPE	Property, plant and equipment after depreciation	BS Non-current asset
└ Net PPE Average	Average net PPE for current and previous year $= (\text{Net PPE} + \text{Prior year}) \div 2$	Calc Ratio support
Operating Expenses	Costs of running the business excluding direct production cost	IS Expense
└ Operating Expenses (excl D&A)	Operating expenses excluding depreciation and amortization $= \text{Operating Expenses} - \text{Depreciation \& Amortization}$	Calc Adjusted expense

Measure	Description	Source
Operating Income	Profit from main business activities before interest and tax = Gross Profit – Operating Expenses (excl D&A)	Calc Profit measure
Other Expenses	Expenses not part of main business operations	IS Non-operating expense
Other Operating Expenses	Operating costs not shown under major named categories	IS Expense
Prepays	Amounts paid in advance for future benefits	BS Current asset
Revenues	Income earned from selling goods or services	IS Income
SG&A	Selling, general and administrative expenses	IS Operating expense
Shareholders' Equity	Equity belonging to the shareholders	BS
└ Shareholders' Equity Average	Average shareholders' equity for current and previous year = (Equity + Prior year) ÷ 2	Calc Ratio support

Measure	Description	Source
Short-term Investments	Investments expected to be sold or mature within one year	BS Current asset
Tangible Net Worth	Equity after removing intangible assets $= \text{Equity} - \text{Intangible Assets}$	Calc
Trade and Other Payables	Amounts owed to suppliers and other parties	BS Current liability
└ Trade and Other Payables Average	Average payables for current and previous year $= (\text{Payables} + \text{Prior year}) \div 2$	Calc Ratio support
Trade and Other Receivables	Amounts owed to the company by customers and others	BS Current asset
└ Trade and Other Receivables Average	Average receivables for current and previous year $= (\text{Receivables} + \text{Prior year}) \div 2$	Calc Ratio support

Measures shown with └ are derived from a related measure (two-year averages used in ratio calculations).



Help Us Improve.

We are continuously enhancing and expanding these measures. Your feedback helps us make them even better. Scan the code to share your suggestions and ideas.